Skills

Advanced Reporting and Performance



AAPQs Solutions

2026

Module Mapping

The below table 1 shows modules covered by each Additional Assessment Practice Question. There will often be multiple modules addressed in each question, so in order to assist you with knowing when you can attempt each question, please see the table 2.

Table 1:

Module	Module Title	Question Number (Section, Question)
1	Presentation and Disclosure	All Questions
2	Assets	S1 Q2 S1 Q3 S1 Q4 S1 Q5 S3 Q1
3	Liabilities	S1 Q1 S1 Q4 S2 Q1
4	Income and Expenses	S1 Q1 S1 Q3 S2 Q2 S2 Q3
5	Financial Instruments	S1 Q1 S1 Q2 S1 Q5 S2 Q1
6	Consolidation	S2 Q1 S2 Q2 S2 Q3 S2 Q4 S2 Q5
7	Statement of Cash Flows	S2 Q4
8	Non- financial reporting: Sustainability disclosures	S3 Q1 S3 Q2 S3 Q3 S3 Q4 S3 Q5
9	The relationship between financial and Non-financial reporting	S2 Q5 S3 Q1 S3 Q2 S3 Q3 S3 Q4 S3 Q5

The following questions can be attempted once the following modules has been completed:

Table 2:

Question	Company name	Can be attempted after completing modules:
Section 1		
Question 1	SungLung plc	1, 3, 4 and 5
Question 2	Calico, Tabby, and Tortie plc	1, 2 and 5
Question 3	Conrad plc	1, 2 and 4
Question 4	Green Agri plc	1, 2 , 3 and 9
Question 5	Lucasta plc	1, 2 and 5
Section 2		
Question 1	Dallas Group	1, 3, 5 and 6
Question 2	Blink Nashville plc	1, 4, 6 and 9
Question 3	Baffin Arctic Ltd	1, 4 and 6
Question 4	Sestina plc	1, 6 and 7
Question 5	Ovek plc	1, 6 and 9
Section 3		
Question 1	Lanercost Ltd	1, 2, 8 and 9
Question 2	Finchdale plc	1, 8 and 9
Question 3	Hylton Ltd	1, 8 and 9
Question 4	Brinkburn Ltd	1, 8 and 9
Question 5	Lion plc	1, 8 and 9

SECTION 1

Solution to SECTION 1: Question 1

All journal entries are presented in £'000

Question 1 – Revenue (12 marks)

Quill

This is an agency relationship and, as the agent, SL should only record the 10% commission for providing the distribution service.

(1 mark)

An expense for the amounts paid to Quill during the year should not be recognised.

(1 mark)

Commission = £560k x 10% = £56k

(1 mark)

The payment due for April sales should be recorded as a liability at 30 April 20X5.

(1 mark)

Payment due: £100k x 90% = £90k

(1 mark)

JE 1	Dr SPL - Revenue (£560k – £56k)	504	
	Cr SPL - Cost of sales		414
	Cr Other payables		90
	Being correction of recording of Quill transactions and accrual of amount due		

(1 mark)

Beetle

The order contains a significant financing component. Under IFRS 15, the transaction price (revenue recognised) is the present value of the future proceeds.

(1 mark)

£168k / 1.077 = £156k

(1 mark)

The £12k difference (£168k - £156k) is recognised as interest income in the financing category of the SPL.

(1 mark)

This should be pro-rated over the period to which it relates, and therefore 3 months (1 Feb – 30 April) of interest income should be recognised.

(1 mark)

3/12 months x £12k = £3k interest income

(1 mark)

JE 2	Dr SPL - Revenue	12	
	Cr SPL - interest income		3
	Cr Trade receivables		9
	Being correction of recording of Beetle interest		

(1 mark)

Total: 12 marks

Question 2 – Financial instruments (15 marks)

Jack

As the investment in Jack is classified as measured at fair value through profit or loss, the transaction costs will have been written off to profit or loss on initial recognition.

(1 mark)

The financial asset will need to be remeasured at fair value at 30 April 20X5, with any gain or loss arising being recorded in profit or loss.

(1 mark)

		£'000
Fair value at 30 April 2025	20,000 x £4.82	96.4
Carrying amount initial measurement	20,000 x £5.00	(100.0)
Loss on remeasurement		(3.6)

(1 mark)

JE 3	Dr SPL – remeasurement loss on financial asset	4	
	Cr Financial assets		4
	Being loss on fair value of Jack		

(1 mark)

Rolf

This investment has been classified as being measured at fair value through other comprehensive income, so the transaction costs will have been included in the financial asset when initially recognised.

(1 mark)

The investment should be remeasured to fair value at 30 April 20X5. Any gains and losses will be recognised in other comprehensive income.

(1 mark)

		£'000	**£'000**
Fair value at 31 April 2025	16,000 x £7.70	123.20	
Carrying amount	(16,000 x £6.80) + £1,080	(109.88)	
Gain			13.32

Carrying amount (1 mark)

Fair value gain (1 mark)

JE 4	Dr Financial assets	13	
	Cr OCI – remeasurement gain on financial asset measured at FVTOCI		13
	Being fair value gain on Rolf		

(1 mark)

Convertible bonds

The convertible bonds reached maturity on 30 April. 80% of the convertible bond holders converted their bonds into equity shares. Share capital and share premium must be recorded for the new shares issued.

(1 mark)

80% x 500,000 convertible bonds = 400,000 bonds converted to shares 20% x 500,000 convertible bonds = 100,000 bonds converted to cash

(1 mark)

Ordinary share capital = 400k x 10p = £40k Share premium = (£1.00 - £0.10) x 400k = £360k

(1 mark)

The convertible bond reserve should be transferred to retained earnings on maturity of the convertible bonds.

(1 mark)

JE 5	Dr Convertible bonds	500	
	Cr Bonds suspense		100
	Cr Share capital		40
	Cr Share premium		360
	Being redemption and conversion of bonds		

(1 mark)

JE 6	Dr Convertible bond reserve	48	
	Cr Retained earnings		48
	Being elimination of equity reserve on redemption and conversion of bonds		

(1 mark)

Total: 15 marks

Question 3 – Tax (8 marks)

Effect of journal entries

	SPL £'000		OCI £'000
JE1	(504)	Dr	
	414	Cr	
JE 2	(12)	Dr	
	3	Cr	
JE 3	(4)	Dr	
JE 4			13Cr
	(103)	Dr	13Cr
Tax at 25%	26	Cr	(3)Dr

Processing own JEs (2 marks)

Tax at 25% (1 mark)

Corporation tax

	SPL £'000	OCI £'000	Total £'000	
Amount per tax adviser	5,670	30	5,700	
Tax impact of adjustments	(26)	3	(23)	
	5,644	33	5,677	**(1 mark)**
Tax recognised per draft SPLOCI	(2,700)	(30)	(2,730)	
Adjustment required	2,944	3	2,947	**(1 mark)**

JE 7	Dr SPL – income tax expenses		2,944	
	Dr OCI – income tax expenses		3	
	Cr Income taxes payable			2,947
	Being additional corporation tax provision required			

Deferred tax

Gain on property revaluation: £92k x 25% = £23k

(1 mark)

(1 mark)

JE 8	Dr OCI - income tax expenses	23	
	Cr Deferred tax		23
	Being deferred tax on property revaluation		

(1 mark)

Total: 8 marks

Question 4 – Construct SPLOCI (5 marks)

SungLung plc

Statement of profit or loss and other comprehensive income for the year ended 30 April 2025

	£'000	JE 1 £'000	JE 2 £'000	JE 3 £'000	JE 4 £'000	JE 7 £'000	JE 8 £'000	Total £'000
Revenue	70,936	(504)	(12)					70,420
Cost of sales	(19,774)	414						(19,360)
Gross profit	**51,162**							**51,060**
Other operating income	42							42
Operating expenses	(22,684)							(22,684)
Operating profit	**28,520**							**28,418**
Remeasurement loss on financial asset				(4)				(4)
Profit before financing and income taxes	**28,250**							**28,414**
Interest income	90		3					93
Interest expenses on borrowings	(742)							(742)
Profit before income taxes	**27,868**							**27,765**
Income tax expenses	(2,700)					(2,944)		(5,644)
PROFIT	**25,168**							**22,121**
Other comprehensive income								
Income and expenses that will not be reclassified to profit or loss:								
Other comprehensive income	120							120
Gain on property revaluation	92							92
Gains on remeasurement of financial assets	13							13
Taxation on items that will not be reclassified	(30)		(3)				(23)	(56)
Other comprehensive income for the year	**182**							**169**
Total comprehensive income for the year	**25,350**							**22,290**

Processing journal entries (2 marks)

New line – gain on financial assets (1 mark)

IFRS 18 subtotals (1 mark)

Row totalling (1 mark)

Total: 5 marks

Question 5 – Distributable profits (8 marks)

Amount of distributable profits

	£'000	
As at 30 April 20X4	31,578	
Add profit for the year ended 30 April 20X5	22,121	**(1 mark)**
Realised gain on financial asset measured at FVTOCI (£13k - £3k)	10	**(1 mark)**
Excess depreciation	4	**(1 mark)**
As at 30 April 20X5	53,713	**(1 mark)**

For a public company like SL, distributable profits are calculated are accumulated realised profits less accumulated realised losses less accumulated net unrealised losses.

(1 mark)

The loss on the remeasurement of the listed equity shares measured at fair value through profit or loss (Jack – JE3) has already been reflected in the profit for the year.

(1 mark)

The net gain (after tax) on the remeasurement of the listed equity shares measured at fair value through other comprehensive income need to be included in distributable profits as this is a realised gain since these shares are readily converted into cash.

(1 mark)

The revaluation gain on property is not a realised gain, however the excess depreciation is treated as realised gain despite SL not having a policy to transfer the revaluation surplus to retained earnings.

(1 mark)

Total: 8 marks

Solution to SECTION 1: Question 2 - Calico

All journal entries are presented in £'000

Question 6 – Inventories (6 marks)

Pillows

The standard cost should be adjusted for normal events, eg change in suppliers' price list or change in working practices. Costs relating to abnormal (one-off) events should be written off to profit or loss.

(1 mark)

The materials and labour variances are normal variances and the batch 9 variance is an abnormal variance.

(1 mark)

Effect of normal variances: (£8,000 - £3,000) / (100 x 200) = £0.25 adverse per pillow

(1 mark)

Adjusted standard cost per pillow of £3.85 (£3.60 + £0.25) (is still below the NRV of £9, therefore should be adjusted to cost)

(1 mark)

The cost of the 6,500 pillows in inventory should be increased: 6,500 x £0.25 = £1,625

(1 mark)

JE 1	Dr Inventories	2	
	Cr SPL – Cost of sales		2

Being allocation of inventory variances

(1 mark)

Total: 6 marks

Question 7 – Loans (14 marks)

Loan made to Tuxedo (loan asset)

As no debt instruments are designated as being at fair value through profit or loss, and the bank loan is not "held for trading", and therefore held to maturity, and has SPPI payments the loans must be held at amortised cost.

(1 mark)

The suspension of interest payments and the reduction in the final payment provide objective evidence of impairment and is Stage 3. A loss allowance equal to the lifetime expected credit loss should be recognised.

(1 mark)

PV of Shortfalls

		£
Interest due 30 June 2025	£100k x 4%	4,000
Interest due 30 June 2026	£4k / 1.055	3,791
Premium due 30 June 2026	(6% x £100k) / 1.055	5,687
		13,478

(2 marks)

Lifetime expected credit losses = £14k x 70% = £10k

(1 mark)

As there was an existing loss allowance, only the increase in loss allowance should be posted, in the investing category of the statement of profit or loss

(1 mark)

The increase in loss allowance is £10k - £8k = £2k

(1 mark)

Interest income for the year ended 30 June 2025 needs to be recognised in the investing category of the statement of financial position.

(1 mark)

Interest income: £103k x 5.5% = £6k

(1 mark)

JE 2	Dr SPL – Impairment Loss	2	
	Cr Loss Allowance		2
Being increase of loss allowance			

(1 mark)

JE 3	Dr Financial Asset	6	
	Cr SPL - Interest income		6
Being interest income on Loan to Tuxedo			

(1 mark)

Bank loan

The bank loan is a financial liability and should be measured at amortised cost.

(1 mark)

		£'000
Opening balance		500
Interest expense	£500k x 3.1%	16
Interest paid		(10)
Carrying amount at 30 June 2025		506

(1 mark)

(2 marks)

The interest expense, calculated using the effective interest rate needs to be corrected and should be presented as interest expenses, in the investing section.

(1 mark)

JE 4	Dr SPL- Interest expenses on borrowings	6	
	Cr Borrowings		6

Being correction of bank loan interest expenses already posted

(1 mark)

Total: 14 marks

Question 8 – Impairment (19 marks)

Factory production unit machinery and fittings

The fact that there have been machinery failures resulting in damaged finished goods, provides indicators of potential impairment being present, alongside Calico's decision to stop manufacturing these product ranges.

(1 mark)

Calico's machinery and fittings should be analysed for any impairment, by comparing the carrying amount (the amount at which the PPE is held at in the financial statements currently) to the recoverable amount. The recoverable amount is the higher of the fair value less costs of disposal (FVLCOD) and the value in use (VIU).

(1 mark)

As the cash flows cannot be calculated for each individual asset, the smallest group of assets should be considered together, as a cash-generating unit. Additionally, the head office is attributed to the Factory production unit so should be considered in the impairment review.

(2 marks)

	£'000	**£'000**
CA:		
PPE CA (from question)		107
Head office assets		45
		152
FVLCOD (175 - 20)	155	
VIU	156	
Recoverable amount: Higher of FVLCOD and VIU		156
Impairment		none

(2 marks)

As the recoverable amount is higher than the carrying amount, there is no impairment present and no adjustment required to Calico's financial statements.

(1 mark)

Chain of shops

Each shop is considered to be a cash generating unit and should be looked at individually first in the impairment review, comparing the Carrying amount and recoverable amount to indicate any impairment.

(1 mark)

Individual shop impairment:

	Shop A		*Shop B*		*Shop C*	
	£'000	**£'000**	**£'000**	**£'000**	**£'000**	**£'000**
CA (CA from question)		335		512		114
FVLCOD (from question)	297		516		203	
VIU (from question)	312		508		99	
Recoverable Amount (higher of FVLCOD and VIU)		(312)		(516)		(203)
Impairment		23		none		none

(3 marks)

From looking at the individual shops, only shop A is impaired. However, as the head office assets, brand name and goodwill cannot be allocated to the individual shops, and can only be allocated to the chain as a whole, the chain must then be considered all together, allocating these assets and identifying any additional impairment present.

(1 mark)

Impairment of chain as a whole:

	£'000
Carrying Amount: £335k + £512k + £114k	961
Less impairment of Shop A	(23)
Or: £312k + £512k + £114k	938
Add: head office assets + brand name + goodwill £89k + £50k + £75k	214
Revised Carrying Amount of chain	1,152
Recoverable Amount of chain (from question)	(1,061)
Additional impairment	91

(3 marks)

Allocation of additional impairment:

The first £75k should be allocated to goodwill (so de-recognising it) and the balance of £16k (£91k - £75k) should be allocated to the other assets pro-rata on their carrying amounts. The total impairment loss should be presented in the operating category of the statement of profit or loss.

(1 mark)

	Assets £'000	**Impairment £'000**
Intangible assets (brand name)	50	1
PPE: £938k + £89k	1,027	15
	1,077	16

(1 mark)

JE 5	Dr SPL - Impairment of PPE (23 + 91)	114	
	Cr Intangible assets – cost (Goodwill)		75
	Cr Intangible assets – accumulated amortisation		1
	Cr PPE – accumulated depreciation (23 + 15)		38
Being impairment of shop chain			

(2 marks)

Note: students may do two separate journal entries, one for Shop A and one for the CGU as a whole.

Total: 18 marks

Question 9 – Share repurchase (5 marks)

Share buy-back

STEP 1: Check legality

	£'000	£'000
Cost of the buy-back (1m x £2.27)		2,270
Retained earnings at 30.06.2024	6,807	
Add: profit to date (£2,764k x 7/12)	1,612	
Less: dividends paid in October	(1,000)	
Distributable profits available		7,419

As distributable profits exceed the cost of the buy-back, the purchase was legal.

(2 mark)

STEP 2: Record the repurchase

		£'000
Nominal value	1,000,000 x 25p	250
Premium on purchase	1,000,000 x (£2.27 - £0.25)	2,020
		2,270

(1 mark)

JE 6	Dr Share capital	250	
	Dr Premium on purchase	2,020	
	Cr Share capital suspense		2,270

Being correction of recording of purchase element of share buy-back

(1 mark)

STEP 3: Record any new issue – N/A

STEP 4: Eliminate the premium on purchase; and

STEP 5: Replace the nominal value of the shares purchased

JE 7	Dr Retained earnings (250 + 2,020)	2,270	
	Cr Capital redemption reserve		250
	Cr Premium on purchase		2,020

Being transfer to capital redemption reserve and elimination of premium on purchase

(1 mark)

Total: 6 marks

Question 10 – SOFP extract (6 marks)

Adjustment to retained earnings:

	£'000
JE 1	2Cr
JE 2	2Dr
JE 3	5Cr
JE 4	6Dr
JE 5	114Dr
	115Dr

(1 mark)

JE 8	Dr	Retained Earnings	115	
		Cr SPL		115
	Being impact of adjustments on retained earnings			

(1 mark)

Callie, Tabbie and Tortie plc

Statement of financial position as at 30 June 2025 (extracts)

		JE 1		JE 2		JE 3		JE 5		JE 6		JE 7		JE 8 (Final step)		Final
	£'000	Dr	Cr	Dr	Cr	Dr	Cr	Dr	Cr	Dr	Cr	Dr	Cr	Dr	Cr	**£'000**
ASSETS																
Non-Current Assets																
Intangible assets	261								76							185
Property, plant and equipment	4,641								38							4,603
	4,902															4,788
Current assets																
Financial Assets	1,983				2	5										1,986
Inventories	2,405	2														2,407
Trade & Other receivables	3,450															3,450
Cash & Cash equivalents	1,971															1,971
	9,809															9,814
TOTAL ASSETS	14,711															14,602
EQUITY AND LIABILITIES																
Share Capital	2,000									250						1,750
Share Premium	4,000															4,000
Revaluation Surplus	345															345
Share Capital Suspense	(2,270)										2,270					-
Retained Earnings	7,870											2,270		115		5,485
Capital Redemption Reserve	-												250			250
Total Equity	11,945															11,830

Processing of journal entries (3 marks)

Row totalling (1 mark)

Total: 6 marks

Solution to SECTION 1 Question 3: Conrad plc

All journal entries are presented in £'000

Question 11 – Impairment review (16 marks)

General

The carrying amount for each cash generating unit (CGU) should be determined and central PPE which should be allocated to each of the CGUs.

(1 mark)

The recoverable amount is the higher of the fair value less costs of disposal (FVLCOD) and the value in use (VIU). An asset is impaired if the recoverable amount is lower than the carrying amount.

(1 mark)

Calculation of carrying amount for each division:

	Sweets £'000	**Ready Meals £'000**
PPE	859	313
Central PPE		
- £1,560k x 55%	858	
- £1,560k x 45%		702
Total PPE	1,717	1,015
Intangible assets	65	125
	1,782	1,140

(3 marks)

Sweets division

	£'000
FVLCOD per App 2	1,615
VIU per App 2	1,585
Recoverable amount (higher of FVLCOD and VIU)	1,615
Carrying amount	1,782
Impairment (£1,7824k - £1,615k)	167

(1 mark)

The division is impaired as the recoverable amount is lower than the carrying amount.

(1 mark)

The impairment needs to be allocated between PPE and intangible assets in proportion to their carrying amounts.

(1 mark)

	Carrying amount		Impairment allocated	Revised CA
	£'000		£'000	£'000
PPE (£1,717k / £1,782k)	1,717	96%	(160)	1,557
Intangible (£65k / £1,782k)	65	4%	(7)	58
	1,782		(167)	1,615

(2 marks)

The impairment loss is material to Conrad, and should be disaggregated and presented separately within the operating category of the statement of profit or loss.

(1 mark)

The journal entry to record the impairment is:

JE1	Dr SPL - Impairment loss	167	
	Cr PPE - accumulated depreciation		160
	Cr Intangible assets - accumulated amortisation		7

Being the impairment of the Sweets division

(1 mark)

Ready Meals division

	£'000	
FVLCOD per App 2 (£1,100k - (12% x £1,100k))	968	**(1 mark)**
VIU per App 2	1,028	
Recoverable amount (higher of FVLCOD and VIU)	1,028	
Carrying amount	1,140	
Impairment (£1,140k - £1,028k)	112	**(1 mark)**

The impairment needs to be allocated between PPE and intangible assets in proportion to their carrying amounts.

	Carrying amount		Impairment allocated	Revised CA
	£'000		£'000	£'000
PPE (£1,015k / £1,140k)	1,015	89%	(100)	915
Intangible (£125k / £1,140k)	125	11%	(12)	113
	1,140		(112)	1,028

(1 mark)

However, no asset can be written down below its recoverable amount. The intangible asset can only be impaired by £10,000 (£125k carrying amount less £115k recoverable amount).

(1 mark)

The remaining impairment loss should therefore be allocated to PPE and will be presented separately within the operating category on the statement of profit or loss as it is material to Conrad.

(1 mark)

	Carrying amount	Impairment allocated	Revised CA
	£'000	**£'000**	**£'000**
PPE	1,015	(102)	913
Intangible assets	125	(10)	115
	1,140	(112)	1,028

(1 mark)

The journal entry to record the impairment is:

JE3	Dr SPL - Impairment loss	112	
	Cr PPE - accumulated depreciation		102
	Cr Intangible assets - accumulated amortisation		10

Being the impairment of the Ready Meals division

(1 mark)

Total marks: 19 marks

Question 12 – Share-based Payments (6 marks)

Year ended	Calculation	SPL £	SOFP £
30 June 2024	([420 x 90%] - 35 –35) x 50 x £2.50 x 1/3 years	12,833	12,833
30 June 2025	([420 x 90%] - 57 – 65) x 50 x £2.20 x 2/3 years	5,940	18,773

(4 marks)

Average growth = (12% + 8% + 9%)/3 years = 9.7%

(1 mark)

			£'000	£'000
JE4	Dr	SPL - staff costs	6	
	Cr	Retained earnings		6
		Being cost of incentive scheme for the year 30 June 2025		

(1 mark)

Total Marks: 6 marks

Question 13 – Intangible assets (11 marks)

Research and development

No adjustment should be made for the £146,000 of research costs written off in the prior year. (Paragraph 71 of IAS 38 specifically prohibits past costs which have been expenses from later being capitalised).

(1 mark)

Paragraph 57 of IAS 38 states that expenditure on research and development should be capitalised and recognised as an intangible asset if, and only if, all of the following can be met.

An entity must be able to demonstrate:

1. the technical feasibility of completing the intangible asset so that it will be available for use or sale - met as it has been completed;
2. its intention to complete the intangible asset and use or sell it - met as sales have commenced;
3. its ability to use or sell the intangible asset - met;
4. how the asset will generate probable future economic benefits (as per above, the expression of interest of customers, indicating future sales);
5. the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset (as per above, the refinements have already been made); and
6. its ability to measure reliably the expenditure attributable to the intangible asset during development (Conrad has measured all the expenditure reliably).

(2 marks)

The criteria for the development phase were met in March 2025 when customers expressed their intent to purchase the product following positive viability results.

(1 mark)

The £127,000 of costs incurred prior to March 2025 (July 2024 to February 2025) have been correctly treated as operating expenses and no adjustment is required.

(1 marks

The £92,000 of refinement costs incurred in June 2025, after the criteria were met should be capitalised as development costs.

(1 mark)

The development costs can amortised from that date development was completed which would appear to be 1 May, the day of the first sale. The intangible asset can be amortised over the expected useful life of four years.

(1 mark)

The amortisation expense for the 2 months to 30 June 2025 is £3,833. (£92k / 4 years x 2/12 months).

(1 mark)

Patent

The patent should be amortised over the useful life and the annual amortisation should be presented in the operating category of the statement of profit or loss.

Annual amortisation charge for the patent = £9,800 (£98k / 10 years)

(2 marks)

Brand

The brand is internally generated – IAS 38 does not permit the capitalisation of internally generated brands. Therefore no asset is recognised, and any costs incurred creating the brand will be expensed to the SPL.

(1 mark)

Total marks (11 marks)

Question 14 – Related parties (10 marks)

a) Related parties of Conrad

Mr Budd is a related party of Conrad as he is a member of Conrad's key management personnel, in his role as managing director (IAS 24, para 9 (a) (iii)).

(1 mark)

Flowers is also a related party of Conrad because it is controlled by Mr Budd (IAS 24, para 9 (b) (vi)) who is a member of Conrad's key management personnel.

(1 mark)

b) Disclosure of related party transactions

Loan from Mr Budd

Since Mr Budd, a related party, has made a loan to the company, disclosure is required of:

- the fact that Mr Budd is a member of key management personnel makes him a related party;
- the amount of the initial loan being £500,000 and the interest payable of £15,000 (3% of £500k);
- the outstanding receivable for Conrad at the year-end being £515,000 (£500,000 plus the interest due of £15,000); and
- the terms and conditions of the loan which are that it bears interest at 3%, payable annually and it is to be repaid on 30 June 2029.

(4 marks)

Flowers

For the transactions with Flowers in the year, disclosure is required of:

- the fact that Flowers is related to Conrad through Mr Budd;
- the total value of transactions during the year between Conrad and Flowers totalled £28,000, being the provision of in-house catering services by Flowers;
- the amount outstanding at the year end being £Nil; and
- the terms and conditions of the transactions, namely that the amounts invoiced were at a 30% discount to normal rates.

(4 marks)

Total marks (10 marks)

Question 15 – Directors' remuneration (10 marks)

NOTE X: Directors' remuneration

Aggregate remuneration for the year ended 30 June 2025 comprised:

	£'000
Aggregate remuneration(W1)	409
Payments under long-term incentive scheme (W2)	44
Contributions to defined contribution pension scheme (W3)	22
	475

(1 mark)

One director was a member of a defined benefit pension scheme and two were members of a defined contribution pension scheme.

(1 mark)

The remuneration of the highest paid director was:

	£'000
Emoluments	164
Contributions to defined contribution pension scheme	12
	176

(1 mark)

One director retired during the year and received her company car, which had a market value of £17,000, as compensation for loss of office.

(1 mark)

Workings:

W1 Aggregate remuneration:

	£'000
Salaries, total from question	300
Fees, including from subsidiary, but not associate, £59k - £10k	49
Bonuses, annual only, £12k x 3	36
Benefits in kind, total from question	24
	409

(2 marks)

W2 Long-term incentives: £80k - £36k = £44k

(1 mark)

W3 Defined contribution pension scheme: £12k + £10k = £22k *(Note: defined benefit scheme contributions are excluded).*

(1 mark)

Total marks: 8 marks

Solution to SECTION 1 Question 4: Green Agri plc

All journal entries are presented in £'000

Question 16 – Provisions (10 marks)

Onerous contract

This is an onerous contract as the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received.

(1 mark)

The unavoidable cost is the lower of the cost of exiting the contract, which is the cancellation fee of £400,00 and the cost of fulfilling the contract.

(1 mark)

The cost of fulfilling the contract is:

	£'000
Purchase cost ((14 months [Sept 2025 - Oct 2026] x 20 tonnes x £1,600)	448
Proceeds from scrappage (14 months × 20 tonnes × £700 scrap value)	(196)
	252

(1 mark)

A provision should be created for £252,000

(1 mark)

JE 1	Dr SPL – General and administrative expenses	252	
Cr Provisions			252
Being creation of provision for onerous contract			

(1 mark)

Closure of production facility

The relocation of a business activity from one region to another is defined in IAS 37 paragraph 70 as an example of restructuring.

(1 mark)

In this case, the amalgamation has been approved by the board and communicated to the affected employees by 30 June 2025, so there is a constructive obligation arising as a result of a past event. It is probable there will be an outflow of resources, and a reliable estimate can be made.

(1 mark)

The costs which should be included are the restructuring costs, including costs for breaking the contracts but not the £11,000 staff relocation costs or the £4,000 for improving the distribution network as these are specifically prohibited by IAS 37.

(1 mark)

Therefore the provision should be created for £236,000 (£247k - £11k).

(1 mark)

JE 2	Dr SPL- General and administrative expenses	236	
	Cr Provisions		236

Being restructuring provision

(1 mark)

Total marks (10 marks)

Question 17 – Properties (17 marks)

Warehouse

On 1 April 2025, the warehouse was no longer owner occupied by Green and became an investment property as it was leased to another business under an operating lease agreement.

(1 mark)

Until 1 April 2025, the warehouse should continue to be accounted for as property, plant and equipment under IAS 16, including depreciation up to that date.

(1 mark)

The warehouse should be revalued to its fair value at the date of transfer (1 April 2025), and any of the gain accounted for as a revaluation.

(1 mark)

At the date of transfer, the PPE is derecognised and the investment property is recognised. The investment property is initially measured at its fair value at the date of transfer.

(1 mark)

	£'000
Cost 1 July 2024	1,250
Accumulated depreciation (9/12mths x £41,667)	(31)
Carrying amount 1 April 2025	1,219
Fair value 1 April 2025	1,295
Gain to revaluation surplus	76

Carrying amount 1 April 2025 (1 mark)

Gain to revaluation surplus (1 mark)

Correction required to depreciation expense recognised: £41,667 - £31,250 = £10,417.

(1 mark)

JE 3	Dr	Warehouse – accumulated depreciation	10	
	Cr	SPL – General and administrative expenses		10
	being correction to depreciation recognised for the year			

(1 mark)

JE 4	Dr	Investment properties	1,295	
	Dr	Warehouse – accumulated depreciation	31	
	Cr	Warehouse - cost		1,250
	Cr	OCI - Revaluation surplus		76
	being transfer to investment properties			

(2 marks)

At 30 June 2025, the investment property, should be remeasured to fair value again, with any gain recognised in the statement of profit or loss, in the investing category.

(1 mark)

Investment properties measured under the fair value model are not depreciated.

(1 mark)

	£'000
Carrying amount 1 April 2025	1,295
Fair value 30 June 2025	1,310
Gain to SPL	15

(1 mark)

JE 5	Dr	Investment property	15	
	Cr	SPL – gain on remeasurement of investment property		15
	being fair value gain on investment property			

(1 mark)

Office Building

Green is applying the revaluation model for the subsequent measurement of the office building. The revaluation increase is recognised in the revaluation surplus and presented in other comprehensive income.

(1 mark)

	£'000
Carrying amount	516
Fair value 1 July 2024	950
Revaluation increase	434

(1 mark)

JE 6	Dr	Buildings	434	
	Cr	OCI - gain on revaluation of PPE		434
	being revaluation surplus on building			

(1 mark)

Depreciation of £22,093 should be recognised based on the fair value and the remaining useful life of 43 years (£950k / 43 years).

(1 mark)

Depreciation of £12,000 has been charged and therefore an increase of £10,000 is required.

(1 mark)

JE 7	Dr	SPL – General and administrative expenses	10	
	Cr	Buildings - accumulated depreciation		10
	being additional depreciation on revalued building			

(1 mark)

Total: 20 marks

Question 18 – SPLOCI (9 marks)

Green Agri plc

Statement of profit or loss and other comprehensive income for the year ended 30 June 2025

	Draft	*JE 1*	*JE 2*	*JE 3*	*JE 4*	*JE 5*	*JE 6*	*JE 7*	*Total*
	£'000	*£'000*	*£'000*	*£'000*	*£'000*	*£'000*	*£'000*	*£'000*	*£'000*
Revenue	3,564								3,564
Cost of sales	(1,180)								(1,180)
Gross profit	**2,384**								**2,384**
General and administrative expenses	(1,288)	(252)	(236)	10				(10)	(1,776)
Operating profit	**1,096**								**608**
Gain on remeasurement of investment property						15			15
Profit before financing and income taxes	**1,096**								**623**
Interest expenses on borrowings and lease liabilities	(20)								(20)
Profit before income tax expense	**1,076**								**603**
Income tax expenses	(142)								(142)
Profit from continuing operations	**934**								**461**
Profit from discontinued operations	(94)								(94)
PROFIT	**840**								**367**
Other comprehensive income									
Income and expenses that will not be reclassified to profit or loss									
Gain on revaluation of PPE					76		434		510
OTHER COMPREHENSIVE INCOME									**510**
TOTAL COMPREHENSIVE INCOME									**877**

Processing journals (3 marks)

Row totalling (1 mark)

New lines (OCI subheading / Gain on revaluation) (2 marks)

IFRS 18 subtotals (1 mark)

Total: 7 marks

Question 19 – Strategic Report (9 marks)

a) Need to prepare a Strategic Report

The Companies Act 2006 requires all companies to prepare a Strategic Report for each financial year (unless the company qualifies as a small or micro-entity). It is included as part of the annual report.

(1 mark)

As a medium-sized UK company, Green must therefore prepare a Strategic Report.

(1 mark)

b) Purpose of the Strategic Report

The purpose of the Strategic Report is to inform shareholders and help them assess how the directors have performed their duties to promote success of the company.

(1 mark)

The Strategic Report should reflect directors' views and should give a fair view of the company's business, along with a description of principal risks and uncertainties facing the company.

(1 mark)

Specifically, Green should include a review of the company's business, including further details on the closure of the Wellington boots division and the planned reorganisation.

(1 mark)

c) Importance of consistency

It is important that the non-financial information disclosed in the Strategic Report is consistent with the financial information in the financial statements, so that the users can understand and rely on the information provided to make decisions. The information should align to enhance transparency, allow comparability and provide a holistic view of Green as a whole organisation.

(1 mark)

For example, the draft Strategic Report refers to revenue of £4,614,000 which is higher than the revenue on the financial statements, possibly because it include revenue from the discontinued operations. This is potentially misleading to users who may not understand that this revenue cannot be expected to continue into the future.

(1 mark)

The Strategic Report draft extract also refers to growth being partly due to combine harvesters, however this is inconsistent with the onerous contract which suggests there is a downturn in the market. Information regarding the onerous contract will be disclosed in the provisions disclosure note and it is important that the messaging in the Strategic Report and the provisions disclosure note are consistent in order to be reliable.

(1 mark)

The Strategic Report also mentions a future decrease in costs due to the relocation of the production facility, but it does not mention the costs incurred in the current year as a result of the decision and therefore again there may be inconsistency between the provisions disclosure note and the information in the Strategic Report.

(1 mark)

Total (9 marks)

Solution to SECTION 1 Question 5: Lucasta

All journal entries are presented in £'000

Question 20 – Change in use of property (11 marks)

From 1 October 2024, the property is no longer owner occupied and is instead held to earn rental income under an operating lease agreement and therefore meets the definition of an investment property.

(1 mark)

The property should be depreciated until the date of transfer and then revalued in accordance with IAS 16.

(1 mark)

Any revaluation gain should be recognised in other comprehensive income.

(1 mark)

Revaluation gain = £3,200k – £1,800k = £1,400k

(1 mark)

The property should be transferred from property, plant and equipment (PPE) to investment properties (IP) at its fair value at the date of change in use, 1 October 2024.

(1 mark)

JE 1	Dr Investment property	3,200	
	Cr PPE		1,800
	Cr OCI – Revaluation Surplus		1,400
	Being transfer to investment property		

(1 mark)

As Lucasta uses the fair value model in IAS 40, no depreciation should be charged while the asset is an investment property. Therefore, the depreciation charged for this period should be removed.

(1 mark)

JE 2	Dr PPE – accumulated depreciation	90	
	Cr SPL – general and administrative expenses		90
	Being elimination of depreciation from 1 October 2024 to 31 March 2025		

(1 mark)

The investment property should be remeasured at fair value at the year end with any gain disaggregated as it is considered to be material, and presented in the investing category of the statement of profit or loss.

(1 mark)

Increase in fair value of IP at 31 March 2025 = £3,450k - £3,200k = £250k

(1 mark)

JE 3	Dr Investment property	250	
	Cr SPL – Investment property remeasurement gain		250
	Being change in fair value of IP		

Total: 11 marks

Question 21 – Accounting for financial assets (16 marks)

Financial asset - Shares in Coinnal

As no election was made to account for the shares at fair value through other comprehensive income (FVTOCI), the shares should be accounted for at fair value through profit or loss (FVTPL).

(1 mark)

The shares should be remeasured at their fair value at 31 March 2025 with any gain or loss taken to profit or loss and presented in the investing category.

(1 mark)

FV gain = (250,000 x £4.20) - £975k = £75k

(1 mark)

JE 4	Dr Financial asset (or similar)	75	
	Cr SPL – Interest income		75
	Being increase in FV of shares		

(1 mark)

Financial asset - loan

As the cash flows are solely of principal and interest (SPPI) and the intention is to hold but sell for funding requirements, the loan stock should be accounted for at FVTOCI.

(2 marks)

The interest income should be calculated on the opening amortised cost balance using the effective interest rate and added to the opening fair value asset balance.

(1 mark)

The nominal interest received during the period should be deducted from the fair value asset balance.

(1 mark)

The loan stock should be measured at fair value at 31 March 2025 with any change presented in other comprehensive income as an item that may will be reclassified to profit or loss if certain conditions are met.

(2 marks)

		£'000	
Fair value at 31 March 2024		7,600	
Interest income	£7,518k amortised cost x 5.6%	421	**(1 mark)**
Interest received	£7,400k nominal x 4%	(296)	**(1 mark)**
		7,725	
Fair value at 31 March 2025		7,745	
Increase in FV		20	**(1 mark)**

Increase in carrying amount of loan stock: £7,745k - £7,600k = £145k

(1 mark)

JE 5	Dr Investment in loan stock	145	
	Dr Suspense Account	296	
	Cr SPL – Interest income		421
	Cr OCI – Revaluation surplus		20
	Being adjustments to loan stock		

(2 marks)

Total: 16 marks

Question 22 – SPLOCI (6 marks)

Lucasta plc

Statement of profit or loss and other comprehensive income for the year ended 31 March 2025

	Draft	JE 1	JE 2	JE 3	JE 4	JE 5	Total
	£'000	£'000	£'000	£'000	£'000	£'000	£'000
Revenue	19,500						19,500
Cost of sales	(12,360)						(12,360)
Gross profit	7,140						7,140
Selling expenses	(1,780)						(1,780)
General and administrative expenses	(2,100)		90				(1,920)
Operating profit	**3,260**						**3,350**
Other investment income	45						45
Investment property remeasurement gain				250			250
Profit before financing and income taxes	**3,305**						**3,645**
Interest income	120				75	421	616
Interest expenses	(390)						(390)
Profit before income taxes	3,035						3,871
Income tax expense	(650)						(650)
Profit for the year	**2,385**						**3,221**
Other comprehensive income:							
Income and expenses that will not be reclassified to profit or loss							
Remeasurement of defined benefit pension plan	510						510
Gain on revaluation of property		1,400					1,400
							1,910
Income and expenses that will be reclassified subsequently to profit or loss when specific conditions are met							
Exchange differences on translation of foreign operations	34						34
Gain in fair value of loan stock						20	20
							54
Other comprehensive income for the year	**544**						**1,964**
Total comprehensive income for the year	**2,929**						**5,185**

Processing (3 marks)

New lines - OCI (1 mark)

IFRS 18 subtotals (1 mark)

Row totalling (1 mark)

Total: 6 marks

Question 23 – Distributable profits of Lucasta (4 marks)

	£'000
Distributable profits at 31 March 2024	24,250
Profit for period (from solution to Q22)	3,221
Dividend paid	(1,870)
FV gain in IP (**JE 3**)	(250)
FV gain on shares (**JE 4**)	(75)
Distributable profits at 31 March 2025	25,276

(Total: 4 marks)

Question 24 – Diluted earnings per share (8 marks)

a) Advise on calculation of diluted earnings per share

The calculation of diluted earnings per share (diluted EPS) adjusts the basic EPS for the effect of potential ordinary shares.

(1 mark)

The convertible bonds are a source of potential ordinary shares as they may entitle the holder to ordinary shares in the future.

(1 mark)

The number of shares used in the basic EPS calculation is adjusted for the maximum additional number of shares that would be issued on the conversion of potential ordinary shares.

(1 mark)

The earnings used in the basic EPS calculation are adjusted for any post tax change that would result from the conversion of potential ordinary shares.

(1 mark)

The finance costs, net of tax, on the convertible bonds would be added to earnings to reflect the impact of converting the bonds to shares.

(1 mark)

b) diluted EPS calculation

	Earnings £'000	**Number of shares '000**	**EPS (in pence)**
Basic EPS	2,976	12,400	24.0
Shares on conversion = 10m/4		2,500	
Post-tax saving = £500k x 75%	375		
Diluted EPS (£3,351k / 14,900k shares)	3,351	14,900	22.5

(3 marks)

Total: 8 marks

SECTION 2

Solution to SECTION 2: Question 1

All journal entries are presented in £'000

Question 25 – Lease arrangement (10 marks)

a) Analysing whether the contract is a lease

The contract meets the definition of a lease as it conveys the right to control the use of an identified asset - the equipment, for a period of time in exchange for consideration.

(1 mark)

Dallas has the right to control the equipment as it:

- Obtains substantially all economic benefits from the use of the asset as it has the exclusive right to use the asset

(1 mark)

- Can direct the use of the asset - Dallas has complete discretion over how it uses the asset.

(1 mark)

- The fact that there is a Question to have a maintenance check performed to protect the equipment does not prevent Dallas from having the right to direct the use of the asset.

(1 mark)

The machinery is an identified asset as the equipment is specified in the contract and the supplier does not have a substantive right to substitute the asset during the contract.

(1 mark)

The temporary replacement in the event of the equipment requiring maintenance or repair does not constitute a substantive substitution right.

(1 mark)

The lease term is five years as Dallas is not expected to take advantage of the early termination option.

(1 mark)

b) Accounting for right of use asset and lease liability

The present value of future lease payments (and therefore the lease liability) is £339,755 (£44,000 × 7.7217)

(1 mark)

The asset is initially measured as £324,755 (£339,755 + £10,000 - £25,000).

(1 mark)

JE 1	DrRight of use asset		325	
	DrSPL - revenue		25	
		Cr Lease liability		340
		Cr SPL – General and administrative expenses		10
	Being recognition of right of use asset			

(1 mark)

Total: 10 marks

Question 26 – Consolidation journal entries (23 marks)

Columbus

Step 2 – Recognise goodwill and non-controlling interests at the date of acquisition

	£'000	£'000
Cash consideration		2,500
Fair value of assets transferred		500
Non-controlling interests' share of net assets (30% x £4,050k)		1,215
Less fair value of net assets acquired		
Share capital	1,000	
Retained earnings	3,050	
		(4,050)
Goodwill		165

Consideration (1 mark)

Non-controlling interest (1 mark)

Goodwill (1 mark)

JE 2	Dr	Share capital	1,000	
	Dr	Retained earnings	3,050	
	Dr	Goodwill	165	
		Cr Investment in Columbus		3,000
		Cr NCI (SOFP)		1,215

Being elimination of investment and recognition of goodwill and non- controlling interests

(2 marks)

Step 3 – Recognise any impairment of goodwill – N/A

Step 4 – Allocate share of subsidiary's historical profit / loss and other gains / losses to non-controlling interests

NCI share of historic profit: 30% x £170k = £51k

(1 mark)

JE 3	Dr	Retained earnings	51	
	Cr	NCI (SOFP)		51

Being non-controlling interests' share of historical profit

(1 mark)

Step 5 – Allocate NCI share of subsidiary's current year profit

Non-controlling interests' share of current year profit = 30% x £750k = £225k

(1 mark)

JE 4	Dr	SPL – NCI	225	
	Cr	NCI (SOFP)		225

Being non-controlling interests' share of current year profit

(1 mark)

Nashville

Step 1 – Adjust for any gain from a bargain purchase

	£'000	£'000
Investment in Nashville		1,600
Share capital	1,200	
Retained earnings	4,560	
	5,760	
Group share of net assets (30% x £5,760k)		(1,728)
Gain from a bargain purchase		128

Group share of net assets (1 mark)

Gain from a bargain purchase (1 mark)

JE 5	Dr	Investment in Nashville	128	
	Cr	Retained earnings		128
	Being historical gain from a bargain purchase			

(1 mark)

Step 2 – Allocate share of associate's historical profit / loss and other gains / losses to the group

	£'000
Retained earnings at 31 October 2024	5,180
Loss for the year ended 31 October 2024	140
Dividend paid 1 May 2024	540
Retained earnings at 31 October 2023	5,860
Retained earnings at acquisition	4,560
Increase	1,300
Group share of historical profit (30% x £1,300k)	390

Retained earnings at 31 October 2023 (1 mark)

Increase (1 mark)

Group share of historical profit (1 mark)

JE 6	Dr	Investment in Nashville	390	
	Cr	Retained earnings		390
	Being group share of historical profit			

(1 mark)

Step 3 – Allocate share of associate's current year profit / loss and other gains / losses to the group

Group share of current year loss = 30% x £140k = £42k

(1 mark)

Group share of current year revaluation surplus = 30% x £437k = £131k

(1 mark)

JE 7	DrSPL – share of loss of Nashville		42	
	DrInvestment in Nashville		89	
	Cr	Revaluation surplus		131
	Being group share of current year loss and revaluation surplus			

(1 mark)

Step 4 - Eliminate group share of intercompany transactions and balances

Group share of dividends = 30% x £540k = £162k

(1 mark)

JE 8	Dr	SPL – interest income	162	
	Cr	Investment in Nashville		162
	Being elimination of intercompany dividend			

(1 mark)

Final step

	£'000	**Dr/Cr**
JE 1	(10)	Cr
JE 1	25	Dr
JE 4	225	Dr
JE 7	42	Dr
JE 8	162	Dr
	444	Dr

(1 mark)

JE 9	Dr	Retained earnings	444	
	Cr	Statement of profit or loss		444
Being to transfer adjustments to profit				

(1 mark)

Total marks: 23 marks

Question 27 – Extracts from consolidated statement of financial position (6 marks)

	Dallas £'000	Columbus £'000	JE 1 £'000	JE 2 £'000	JE 3 £'000	JE 4 £'000	JE 5 £'000	JE 6 £'000	JE 7 £'000	JE 8 £'000	JE 9 £'000	Total £'000
ASSETS												
Non-current assets												
Right of use asset			325									325
Goodwill				165								165
Investment in Columbus	3,000			(3,000)								0
Investment in Nashville	1,600						128	390	89	(162)		2,045
Equity												
Share capital	5,500	1,000		(1,000)								5,500
Revaluation surplus	910	-							131			1,041
Retained earnings	13,115	3,970		(3,050)	(51)		128	390			(444)	14,058
Non-controlling interests				1,215	51	225						1,491

Excluding Nashville (1 mark)

Processing (4 marks)

Row totalling (1 mark)

Total (6 marks)

Question 28 – Potential purchase of convertible bonds in Oregon (7 marks)

Dallas currently owns 15% of Oregon's shares and does not participate in Oregon's financial or operating decisions so does not have either control or significant influence. Therefore, in Dallas's group accounts, Oregon is a financial asset and will be accounted for in accordance with IFRS 9.

(1 mark)

Should Dallas purchase all the convertible bonds to be issued, this would give the company substantive potential voting rights as the potential shares carry equal voting rights with the existing shares.

(1 mark)

Until the conversion takes place, however, Dallas does not have 'substantive rights that are currently exercisable', so Oregon would continue to be accounted for as a financial asset in the year to 31 October 2025.

(1 mark)

On conversion, the combination of the 150,000 existing shares and the 500,000 potential shares (one share for each of the 500,000 bonds) would give Dallas voting power of 43% ((150k + 500k) / (1,000k + 500k)).

(1 mark)

Based on voting rights alone, Dallas would have control over Oregon, however the definition of control under IFRS 10 need to be considered.

(1 mark)

Dallas would appoint three of the five directors of Oregon from 31 March 2026 and would have power over Oregon and the ability to use that power by making financial and operating decisions.

(1 mark)

Dallas would therefore have control over Oregon from 31 March 2026 and Oregon would be consolidated into the Dallas group from that date.

(1 mark)

Total marks: 7 marks

Solution to SECTION 2 Question 2

Note: All journal entries are in £'000.

Question 29 – Share based payments (8 mark)

Share-appreciation rights are a cash settled share-based payment transaction and will therefore be recognised as a liability.

(1 mark)

As they are cash settled, they are measured using the fair value at each measurement date.

(1 mark)

The assistant has made an error in using the fair value of the SARs at grant date, which is the approach for an equity-settled transaction rather than a cash-settled transaction.

(1 mark)

The measurement must take account of the number of directors expected to leave over the vesting period.

(1 mark)

The assistant has made an error in deducting only the number of directors who have already left, not those who are expected to leave.

(1 mark)

The amount recognised as a liability is spread over the vesting period of three years.

(1 mark)

The assistant has made an error in recognising the whole amount of the liability rather than 2/3 of the total liability as Blink is 2 years into the 3-year vesting period.

(1 mark)

The corrected calculation is: (3 × 100,000 × £0.76) × 2/3 = £152,000

(1 mark)

Total: 8 marks

Question 30 – Consolidation journal entries Gila (12 marks)

STEP 1 – Adjust for any gain from a bargain purchase

	£'000	£'000
Cost of investment		360
FV of net assets acquired:		
Share capital	200	
Retained earnings	1,040	
	1,240	
Group share (30% x £1,240k)		372
Gain on bargain purchase		12

FV of net assets (1 mark)

Gain on bargain purchase (1 mark)

JE 1	Dr	Investment in associate	12	
	Cr	SPL – share of profit of associate		12
		Being the gain on bargain purchase		

(1 mark)

STEP 2 – Allocate share of associate's historical profit / loss to the group – not applicable

STEP 3 – Allocate share of associate's current year profit / loss and other gains / losses to the group

	Retained earnings £'000	Revaluation surplus £'000
At 1 June 2024 (date of acquisition)	1,040	-
At 31 August 2024	960	370
Movement	(80)	370
Add back: dividend paid (15p x 200k)	30	
Loss since acquisition	(50)	
Group share (30% x (£50k))	(15)	
Group share (30% x £370k)		111

Dividend paid (1 mark)

Loss since acquisition (1 mark)

Group share – both RE and RS (1 mark)

JE 2	Dr	Investment in associate	96	
	Dr	SPL – share of loss of associate	15	
	Cr	OCI – revaluation surplus		111
		Being the group share of associate gains / losses since acquisition		

(1 mark)

STEP 4 – Dividends

Group share = 30% x £30k (from above) = £9k

(1 mark)

JE 3	Dr	SPL – interest income	9	
		Cr Investment in associate		9
		Being the elimination of the group share of associate dividend		

(1 mark)

STEP 4 – Group share of unrealised profits

	£'000
Sales (within year-end inventories)	50
Unrealised profit 40% profit margin	20
Group share (30% x £20k)	6

Unrealised profit (1 mark)

Group share (1 mark)

JE 4	Dr	SPL – share of loss of associate	6	
		Cr Inventories		6
		Being the elimination of group share of unrealised profit		

(1 mark)

Total: 12 marks

Question 31 – Consolidation journal entries Span (15 marks)

Deferred consideration

	£'000
Deferred consideration £70k / $(1.08)^2$	60
Unwinding to 31 August 2024 £60k x 8% x 6/12	2

Deferred (1 mark)

Unwinding (1 mark)

JE 5	Dr	Investment in Span	60	
	Cr	Deferred consideration		60
		Being the deferred consideration on purchase		

(1 mark)

JE 6	Dr	SPL – interest expenses	2	
	Cr	Deferred consideration		2
		Being the unwinding of the discounted deferred consideration		

(1 mark)

STEP 2 – Recognise goodwill and NCI at the date of acquisition

	% shareholding
Existing investment (5k shares)	10
1 March 2024 (5k + 35k shares)	80

(1 mark)

	£'000
Fair value of existing investment at 31 August 2023	17
Fair value of existing investment at 1 March 2024 = 5k x £3.62	18
Fair value gain	1

FV existing at 31 March 2024 (1 mark)

Increase (1 mark)

JE 7	Dr	Investment in subsidiary	1	
	Cr	SPL – fair value gain		1
		Being the fair value adjustment at the date of acquisition		

(1 mark)

	£'000	£'000
Investment:		
Cash paid		70
Deferred consideration		60
FV of existing holding at 1 March 2024		18
NCI (20% x £158k)		32
Less: FV of net assets acquired:		
Share capital	50	
Retained earnings	108	
		(158)
Goodwill		22

Consideration (1 mark)

NCI (1 mark)

Goodwill (1 mark)

JE 8		DrShare capital	50	
		DrRetained earnings	108	
		DrGoodwill	22	
		CrInvestment		148
		CrNCI (SOFP)		32
	Being the recognition of goodwill and NCI at acquisition			

(2 marks)

STEP 3 – Recognise any impairment of goodwill - n/a

STEP 4 – Allocate share of subsidiary's historic profit / loss to NCI - n/a STEP 5 – Allocate share of subsidiary's current year profit / loss to NCI

	£'000
NCI share (20% x £40k)	8

(1 mark)

JE 9	Dr	SPL - NCI	8	
		Cr NCI (SOFP)		8
	Being NCI share of current year profit since acquisition			

(1 mark)

Total marks: 15 marks

Question 32 – Disclosure requirements relating to Gila (6 marks)

a) Prior to be becoming an associate

Gila is a related party of Blink by virtue of one of the directors of Blink, who is a member of the key management personnel of Blink, having a controlling interest in Gila.

(1 mark)

Blink will need to disclose the nature of the related party relationship, ie that a member of key management personnel has a controlling interest in a supplier.

(1 mark)

The following also needed to be disclosed:

- The amount of the transactions, ie that there is a total of £180,000 of transactions between the companies in the period; and

(1 mark)

- the amount of outstanding balances, including commitments - all amounts are settled immediately and therefore there are no amounts outstanding which require to be disclosed.

(1 mark)

After becoming an associate

Transactions between an associate and the group are not eliminated on consolidation and therefore the associate is a related party and the disclosures described above continue to apply.

(1 mark)

The difference is that the nature of the related party relationship will change to reflect the fact that there is now an associate.

(1 mark)

Total: 6 marks

Question 33 – Ethics (6 marks)

Issue

The managing director has requested that that the related party disclosures requirements for Gila are minimised or excluded despite the requirements of IAS 24.

(1 mark)

Integrity

An accountant is required to be honest and straightforward in all business dealings. Deliberately excluding disclosures would be dishonest which would breach the principle of integrity.

(1 mark)

Professional competence and due care

Failing to adhere to the requirements of IAS 24 would be show a lack of due care, as I am required to prepare financial statements in accordance with the IFRS Accounting Standards.

(1 mark)

Objectivity

My objectivity is at risk as the managing director has suggested that I am more likely to become finance director if I follow her request, which might lead to bias.

(1 mark)

Professional behaviour

If I was to intentionally disregard the requirements of the accounting standards, there is a risk that I might bring the profession into disrepute which would be a breach of professional behaviour.

(1 mark)

Action

I should explain to the managing director that information must be disclosed in accordance with IAS 24. I should consider escalating the matter to the finance director if she continues to put me under pressure.

(1 mark)

Total: 6 marks

Solution to SECTION 2: Question 3

All journal entries are presented in £'000

Question 34 – Bargain purchase and consolidation journals (13 marks)

a)
The assistant accountant has made a number of errors in the calculation of the gain on bargain purchase:

Professional fees – the professional fees incurred should be written off as expenses in the period in which they are incurred and do not form part of the consideration.

(1 mark)

Deferred consideration – the assistant accountant should have included the present value of the deferred consideration.

(1 mark)

The amount to be included is £2,300,000 / 1.06^3 = £1,931,124

(1 mark)

Non-controlling interests (NCI) – the assistant accountant used the proportionate method to calculate non-controlling interests (NCI) at the date of acquisition which is not consistent with Baffin's policy to measure NCI at fair value.

(1 mark)

Retained earnings – the assistant accountant has used retained earnings at the start of the accounting period and not at the date of acquisition.

(1 mark)

Retained earnings at acquisition are: £4,603,000 + (908,000 × 6/12 months) = £5,057,000

(1 mark)

b) The revised calculation is:

	£'000	**£'000**
Cash consideration		6,000
Deferred consideration		1,931
Fair value of NCI		1,845
Less: fair value of net assets acquired		
Share capital	4,000	
Retained earnings	5,057	
		(9,057)
Goodwill		719

Consideration and NCI (1 mark)

Net assets and goodwill (1 mark)

c)
Step 2 – unwinding of deferred consideration

£1,931,124 × 6% × 6/12 months = £57,934

Use of 4% (1 mark)

Pro-rating (1 mark)

JE1 Dr SPL – interest expenses	58	
Cr Deferred consideration		58
Being unwinding of deferred consideration		

(1 mark)

Step 5 – Non-controlling interest for the current year

NCI in post-acquisition profit = £454,000 (from (a) × 20% = £90,800

(1 mark)

JE 2 Dr SPL - NCI	91	
Cr NCI (SOFP)		91
Being NCI in Mullion profit for the year		

(1 mark)

Total: 13 marks

Question 35 – Consolidation journal entries (14 marks)

Pre Consolidation Step 1 – Translation of financial statements

See Question 3

Pre Consolidation Step 2 – Translation differences in the year

		Closing	Opening	Gain
Share capital	*€'000*	5,000	5,000	
	€ : £	1.25	1.40	
	£'000	4,000	3,571	429
Retained earnings	*€'000*	2,937	2,937	
	€ : £	1.25	1.40	
	£'000	2,350	2,098	252
		SOFP	**SPL**	**Gain**
Profit for the year	*€'000*	931	931	
	€ : £	1.25	1.30	
	£'000	745	716	29
Total gain				710

Share capital (1 mark)

Retained earnings (1 mark)

Profit for the year (1 mark)

Total (1 mark)

JE 3	Dr	Share capital		429	
	Dr	Retained earnings (£252k + £29k)		281	
		Cr	Translation reserve		710
being translation gains in the year					

(2 marks)

Step 2 – Calculate goodwill and eliminate investment

	€'000	*£ : €*	*£'000*
Cost	9,041	1.40	6,458
Share capital	(5,000)	1.40	(3,571)
Retained earnings	(2,937)	1.40	(2,098)
Goodwill at acquisition	1,104	1.40	789
Translation gain			94
Goodwill at year end	1,104	1.25	883

Goodwill at acquisition € (1 mark)

Translation at acquisition (1 mark)

Translation gain (1 mark)

JE 4	Dr	Goodwill		789	
	Dr	Share capital		3,571	
	Dr	Retained earnings		2,098	
		Cr	Investments		6,458
being creation of goodwill and NCI, and elimination of investment					

(2 marks)

JE 5	Dr	Goodwill	94	
		Cr Translation reserve		94
	being translation gains on goodwill			

(1 mark)

Step 6 – Internal transactions

Intercompany loan

JE 6	Dr	SPL – interest income	10	
		Cr SPL – interest expenses		10
	being elimination of internal interest			

(1 mark)

JE 7	Dr	Payables – short-term loan	1,010	
		Cr Loans – short-term		1,010
	being elimination of short-term loan			

(1 mark)

Total: 14 marks

Question 36 - Consolidated SPL (6 marks)

				6 months €1.30 : £1					
	Baffin	**Mullion**	**Regen**	**Mullion**	**Regen**	**JE1**	**JE2**	**JE6**	**Final**
	£'000	**£'000**	**£'000**	**£'000**	**£'000**	**£'000**	**£'000**	**£'000**	**£000**
Operating profit	9,049	2,163	1,858	1,082	1,429				11,560
Interest income	197							-10	187
Interest expenses	-446	-755	-425	-378	-327	-58		10	-1,199
Profit before tax	8,800	1,408	1,433	704	1,102				10,548
Income tax expense	-2,640	-500	-502	-250	-386				-3,276
Profit for the year	6,160	908	931	454	716				7,272
Non-controlling interests							91		91
Profit for owners of the parent									7,181

Mullion pro-rata (1 mark)

Regen in £ (1 mark)

Processing (1 mark)

IFRS 18 subtotals (1 mark)

New line - NCI (1 mark)

New line - Profit for owners of parent (1 mark)

Total: 6 marks

Question 37 – EPS (11 marks)

a) Basic earnings per share

	Note	Earnings £000	Shares No. 000	EPS p
Basic earnings	1	7,135		
Weighted average number of shares	2		44,500	
Basic EPS				16.0

(1 mark)

1. Basic earnings

	£000
Consolidated profit for the year per Question 3	7,200
Less preference dividend	(65)
Basic earnings	7,135

(1 mark)

2. Right issues

Theoretical ex-rights value per share:

$$\frac{(40{,}000 \times £8.00) + (5{,}600 \times £6.00)}{40{,}000 + 5{,}600} = £7.75 = \frac{£353{,}600}{45{,}600} = £7.75$$

Numerator (1 mark)

Denominator (1 mark)

Adjustment factor: £8.00 / £7.75 = 1.03

(1 mark)

Weighted average number of shares:

3 months at (40,000,000 x 1.03)	10,300
9 months at 45,600,000	34,200
	44,500

3 months (1 mark)

9 months (1 mark)

b) Convertible debt

The issue of convertible debt means that additional shares may be issued at some point in the future (1 August 2027) and are therefore potentially dilutive instruments.

(1 mark)

Diluted EPS will be calculated and disclosed in the financial statements from the year ended 30 April 2026.

(1 mark)

The diluted EPS calculation will deduct the interest paid on the convertible debt, net of tax, which will increase earnings.

(1 mark)

It will also increase the weighted average number of shares as the potentially issuable shares will be included in the diluted EPS calculation.

(1 mark)

Total: 11 marks

Solution to SECTION 2: Question 4

All journal entries are presented in £'000

Question 38 - Consolidation journal entries (10 mark)

Step 2 – Calculate goodwill and eliminate investment

JE 1	Dr Share capital		80	
	Dr Retained earnings	263		
	Dr Goodwill	125		
	Cr Investment in Nectus			468
	Being the elimination of the investment and recording of goodwill			

(1 mark)

Step 3 – Impairment of goodwill

60% x £125k = £75k

(1 mark)

JE 2	Dr Retained earnings		75	
	Cr Goodwill			75
	Being the impairment of goodwill in a prior year			

(1 mark)

Step 5 – NCI share of profits for the year

NCI share of profit for the six months from 30 April to 31 October 2024 = £33k x 25% = £8,250

(1 mark)

JE 3	Dr SPL - NCI		8	
	Cr NCI (SOFP)			8
	Being the non-controlling interest share in profit for the year			

(1 mark)

Step 6 – Internal transactions

The dividend of £16k was all paid to the group since the subsidiary was 100% owned at the date of the dividend.

JE 4	Dr SPL - interest income		16	
	Cr Retained earnings			16
	Being elimination of internal dividend			

(1 mark)

Step 6 - Disposal

Partial disposal of 20,000 shares (25% of net assets) on 30 April 2024:

	£'000
Retained earnings as at 31 October 2024	377
Less: 6 months profit	(33)
Retained earnings as at 30 April 2024	344

(1 mark)

	£'000
Net assets at 30 April 2024	
Share capital	80
Retained earnings	344
	424
25% of net assets at 30 April 2024	106

(1 mark)

	£'000
Proceeds on disposal	100
Less: 25% of net assets of Nectus	(106)
Loss on disposal	(6)

(1 mark)

JE 5	Dr Disposal suspense account	100	
	Dr Retained earnings		6
	Cr NCI (SOFP)		106
	Being sale of 25% of the investment in of Nectus to non-controlling shareholders and recording of the loss on disposal		

(1 mark)

Total: 10 marks

Question 39 – Consolidation journal entries, including disposal of Walt (14 marks)

Step 2 – Calculate goodwill and eliminate investment

	£'000	£'000
Cost of investment		1,875
NCI share of net assets (20% of £1,850k)		370
		2,245
Less:		
Share capital	100	
Share premium	250	
Retained earnings	1,500	
		1,850
Goodwill		395

Cost and NCI (1 mark)

Net assets (1 mark)

JE 6	Dr Share capital	100	
	Dr Share premium	250	
	Dr Retained earnings	1,500	
	Dr Goodwill	395	
	Cr Investment in Walt		1,875
	Cr NCI (SOFP)		370
	Being the elimination of the investment and recording of goodwill		

(2 marks)

Step 4 – NCI share of historic profits

	£'000	£'000
Retained earnings at acquisition	1,500	
Retained earnings at 31 October 2023	1,789	
Increase	289	
NCI share of increase (20%)		58

RE increase (1 mark)

NCI share (1 mark)

JE 7	Dr Retained earnings	58	
	Cr NCI (SOFP)		58
	Being the change in the non-controlling interest up to 31 October 2023		

(1 mark)

Step 5 – NCI share of profits for the year

20% x £424,000 = £84,800

(1 mark)

JE 9	Dr SPL - NCI	85	
	Cr NCI (SOFP)		85
	Being the non-controlling interest share in profit for the 11 months until disposal		

(1 mark)

Step 6 – Disposal

The gain on disposal is as follows:

	£'000	£'000
Proceeds		2,246
Less:		
Net assets disposed of (80% x £2,563k)	2050	
Goodwill	395	
		2,445
Loss on disposal		199

Net assets (1 mark)

Goodwill (1 mark)

Gain (1 mark)

The journal to record the disposal is:

JE 10	Dr Disposal suspense account	2,246	
	Dr SPL – loss on disposal	199	
	Dr NCI (SOFP) (20% x £2,563k)	513	
	Cr Goodwill		395
	Cr Net assets		2,563
	Being the disposal of Walt and recording of the loss on disposal		

(2 marks)

Total: 14 marks

Question 40 – Presentation relating to disposal of Walt (7 marks)

Walt meets the definition of a discontinued operation under IFRS 5 as it was a component of Sestina that can be clearly distinguished for operational and financial reporting purposes

(1 mark)

And represents a separate geographical area of operations as it was the only part of the group to operate in Asia.

(1 mark)

IFRS 5 requires that Walt discloses a single amount on the face of the statement of profit or loss and other comprehensive income with the total of:

- the profit of £424,000 for the 11 months to 30 September 2024; and
- the loss on disposal on disposal of £199,000.

(1 mark)

This single figure should be analysed into:

- revenue, expenses and pre-tax profit;
- the related tax;
- gain on disposal; and
- the tax relating to the gain on disposal of Walt

(2 marks)

This analysis can either be shown on the face of the statement (separate from continuing operations) or in the notes to the financial statements.

(1 mark)

Comparative figures should be restated so that the operations of Walt are presented as discontinued operations in the comparative figures.

(1 mark)

Total: 7 marks

Question 41 – Presentation and disclosure (6 marks)

(a) The proceeds of disposal of Walt, net of the bank balance of Walt, of £2,088,000 (£2,246k - £158k) will be presented as a cash inflow in the cash flows from investing activities section of the statement of cash flows.

Proceeds net of bank (1 mark)

Investing activities (1 mark)

(b) Sestina will be required to disclose:

- The total consideration for the disposal - which is £2,246,000.

(1 mark)

- The portion of the disposal consideration settled in cash and cash equivalents
  - which is the whole £2,246,000 consideration.

(1 mark)

- The amount of cash and cash equivalents in the subsidiary at the time of acquisition or disposal - which is the £158,000 bank balance.

(1 mark)

- A summary of the assets and liabilities, excluding cash and cash equivalents, in the subsidiary acquired or disposed, categorised by major headings.

(1 mark)

Total: 6 marks

Solution to SECTION 2: Question 5 Ovek

All journal entries are presented in £'000

Question 42 – Acquisition accounting (10 marks)

IFRS 3 *Business Combinations* requires that the consideration transferred should be the sum of the acquisition-date fair value of the assets transferred, the liabilities incurred by the acquirer and the equity interests issued by the acquirer.

(1 mark)

In this case, the assets transferred do not just include the immediate cash payment. The deferred payment of cash and contingent consideration relating to the additional amount payable must also all be included as part of the cost of the investment.

(1 mark)

Deferred consideration

The payment due on 1 February 2028 is deferred consideration. It should be discounted to the date of acquisition using the borrowing rate as a discount factor.

(1 mark)

Present value of deferred consideration = £1,400k/1.045^3 = £1,227k

(1 mark)

JE 1	Dr	Investment	1,227	
	Cr	Deferred consideration		1,227
	Being initial recording of the deferred consideration			

(1 mark)

The discount should be unwound to 30 June 2025 and recorded as a finance cost.

(1 mark)

Unwinding to 30 June 2025 = £1,227k x 4.5% x 5/12 = £23k

(1 mark)

JE 2	Dr	SPL – interest expense	23	
	Cr	Deferred consideration		23
	Being the unwinding of the deferred consideration to 30 June 2025			

(1 mark)

Contingent consideration

As the directors of Ovek believe that the performance target is likely to be met, a provision should be made for the fair value of the contingent consideration.

(1 mark)

JE 3	Dr	Investment	600	
	Cr	Provisions		600
	Being initial recording of the contingent consideration			

(1 mark)

Total: 10 marks

Question 43 – Consolidation adjustments (14 marks)

Step 2 – Goodwill and NCI on acquisition of Cluss

	£'000	£'000
Cost (£7,320k + £1,227k JE 1 + £600k JE3)		9,147
NCI at fair value		2,100
		11,247
Less: Net assets acquired at fair value		
Share capital (1 million shares x 50p)	500	
Retained earnings	3,400	
Revaluation surplus	2,780	
		(6,680)
Goodwill		4,567

Cost and NCI (1 mark)

Goodwill (1 mark)

JE 4	Dr	Share capital		500	
	Dr	Retained earnings		3,400	
	Dr	Revaluation surplus		2,780	
	Dr	Goodwill		4,567	
		Cr	SOFP - NCI		2,100
		Cr	Investment		9,147
	Being goodwill on acquisition of Cluss				

(2 marks)

Step 5 – NCI share of profit for the period

25% x £2,560k x 5/12 = £267k

(1 mark)

JE 5	Dr	SPL - NCI		267	
		Cr	SOFP - NCI		267
	Being NCI share of profit				

(1 mark)

Joint Venture (JV) – Sperre

Step 1 – not required, as question states there was no bargain purchase

Step 2 – share of profits from date of acquisition to 30 June 2024

	£'000	
Retained earnings at 30 June 2025	5,300	
Less: profit for the year	(1,360)	
Add: dividend paid	700	
Retained earnings at 30 June 2024	4,640	**(1 mark)**
Retained earnings at acquisition	(460)	
Increase in retained earnings	4,180	**(1 mark)**
20% share (£4,180k x 20%)	836	**(1 mark)**

JE 6	Dr	Investment in JV	836	
		Cr Retained earnings		836
	Being share of historic increase in retained earnings			

(1 mark)

Step 3 – share of profits and other gains of the current year

Share of profit = 20% x £1,360k = £272k

Share of revaluation = 20% x £2,100k = £420k

Share of profit (1 mark)

Share of revaluation (1 mark)

JE 7	Dr	Investment in JV	692	
		Cr SPL – Share of profit of JV		272
		Cr OCI – revaluation gain		420
	Being share of current-year profits and gains			

(1 mark)

Step 4 – internal transactions

Dividend

JE 8	Dr	SPL – interest income	140	
		Cr Investment in JV		140
	Being elimination of internal dividend			

(1 mark)

Total: 14 marks

Question 44 – Consolidated financial statements (6 marks)

Ovek plc

Consolidated statement of profit or loss and other comprehensive income for the year ended 30 June 2025

	Ovek £'000	Cluss £'000	Cluss £'000	5/12 JE 2 £'000	JE 5 £'000	JE 7 £'000	JE 8 £'000	Group £'000
Revenue	17,350	13,500	5,625					22,975
Cost of sales	(11,350)	(7,880)	(3,283)					(14,633)
Gross profit	**6,000**	**5,620**	**2,342**					**8,342**
Operating expenses	(1,950)	(1,665)	(694)					(2,644)
Operating Profit	**4,050**	**3,955**	**1,648**					**5,698**
Share of profit of joint venture	-	-	-			272		272
Profit before financing and income taxes	**4,050**	**3,955**	**1,648**					**5,970**
Interest expenses	(330)	(295)	(123)	(23)				(476)
Interest income	730	-	-				(140)	590
Profit before income taxes	**4,450**	**3,660**	**1,525**					**6,084**
Income tax expense	(810)	(1,100)	(458)					(1,268)
Profit for the period	**3,640**	**2,560**	**1,067**					**4,816**
Other comprehensive income								
Income and expenses that will not be reclassified to profit or loss								
Gains on property revaluation	780	-	-					780
Share of other comprehensive income of joint venture	-	-	-			420		420
Other comprehensive income for the year	780	-	-					1,200
Total comprehensive income for the year	4,420	2,560	1,067					6,016
Profit attributable to:								
Owners of the parent								4,549
Non-controlling interests					267			267
								4,816
Total comprehensive income attributable to:								
Owners of the parent								5,749
Non-controlling interests								267
								6,016

5/12 Cluss (1 mark)

New lines (share of JV, NCI) (1 mark)

Processing journal entries (1 mark)

IFRS 18 subtotals (1 mark)

Profit attributable to (1 mark)

TCI attributable to (1 mark)

Total: 6 marks

Question 45 – JV disclosure (4 marks)

Ovek will need to disclose information about the nature, extent and financial effects of its interest in Sperre.

(1 mark)

This will include the name, relationship and ownership interest (20% in this case) and that the equity method is used on consolidation.

(1 mark)

Ovek will need to disclose the amount of the dividend received from Sperre (£140,000).

(1 mark)

Ovek will also need to disclose summarised financial information for Sperre, including assets, liabilities, revenue, profits and other comprehensive income. The summarised information should be the totals for the JV, not just Ovek's share.

(1 mark)

Total: 4 marks

Question 46 – Ethics (7 marks)

Issue

The chief executive has directed you to deliberately distort the goodwill calculation in order to mislead a group of users.

(1 mark)

Integrity

If you were to follow this approach, you would be showing a lack of integrity, as your calculations would not be performed honestly.

(1 mark)

Professional competence and due care

This would threaten your professional competence and due care, as you are required to act diligently and to prepare information in accordance with relevant accounting standards.

(1 mark)

Professional behaviour

Preparing intentionally misleading calculations risks your professional behaviour, as it violates regulations and represents conduct that has the potential to discredit the profession.

(1 mark)

Objectivity

The tone of the email is very forceful and may suggest intimidation, which is a threat to your objectivity, as you may feel that your position is at risk if you don't do what the chief executive asks.

(1 mark)

Actions

It is important that you comply with the IFRS Accounting Standards when calculating goodwill and you should not comply with the chief executive's directive.

(1 mark)

You should raise this matter with your line manager within the finance department. If your line manager wants you to comply with the directive from the chief executive, you should escalate the matter further eg by reporting to one of the non-executive directors on the audit committee and should consider resigning from the company as a last resort if the matter cannot be resolved.

(1 mark)

Total: 7 marks

SECTION 3

SECTION 3 Question 1 - Solution

Question 47 – MV Belsay (6 marks)

The announcement by the government indicates that the asset may be impaired in accordance with IAS 36 *Impairment of Assets*.

(1 mark)

Lanercost should estimate the recoverable amount of the ferry as a CGU, which is the higher of (i) value in use of £670,000 and its (ii) fair value less costs to sell of £640,000.

(1 mark)

The recoverable amount is therefore £670,000 and as this is lower than the carrying amount at 31 December 2024, the asset is impaired.

(1 mark)

The asset should be presented in the statement of financial position at its recoverable amount of £670,000 and an impairment expense of £150,000 (£820,000 - £670,000) should be presented in profit or loss.

(1 mark)

As the ferry is impaired, disclosure is required of:

- the events and circumstances leading to the impairment - which is the change in regulation.
- the £150,000 amount of the loss and how it is allocated to classes of assets
- a description of the nature of the CGU
- the recoverable amount of the CGU, being £670,000, including a statement that the recoverable amount is VIU and the discount rates applied in the calculation of VU

(4 marks)

Total: 8 marks

Question 48 – IFRS S2 (6 marks)

Changes in regulation are affecting Lanercost's current financial performance (as a result of the impairment) and further proposed changes represent a risk to Lanercost's prospects, including potential future cash flows and the company's ability to access finance.

(1 mark)

In accordance with IFRS S2 *Climate-Related Disclosures* Lanercost should disclose this as a climate-related transition risk.

(1 mark)

It is classified as a transition risk because it has arisen from the transition to a lower- carbon economy and associated legal restrictions imposed by government.

(1 mark)

Lanercost should disclose the risks and financial impacts that the directors have identified, including:

- Asset impairments caused by needing to redeploy or dispose of ferries
- Expected or possible lower revenue and increased operating costs
- Possible additional impacts, for example access to and cost of finance.

(2 marks)

There may also be climate-related opportunities associated with this transition, for example the possibility of winning contracts from government at the expense of competitors if Lanercost decides to invest in new ferries; attracting finance on favourable terms to support investment in low-pollution ferries.

(1 mark)

Total: 6 marks

Question 49 – Consistency (5 marks)

The sustainability-related financial information disclosed by Lanercost should align with the information provided in the financial statements so that the information is useful to the users of the reports, enabling them to make decisions.

(1 mark)

When financial and non-financial information align, it enhances transparency and allows users to meaningfully compare information over time or across different entities.

(1 mark)

Lanercost prepares sustainability-related financial disclosures in accordance with IFRS Sustainability Disclosure Standards, which apply financial materiality, which is the same basis on which the financial statements are prepared.

(1 mark)

Therefore, information which is material with respect to sustainability-related issues may also affect the recognition and measurement of assets and liabilities, or may be essential to understanding the quality and limitations of the measurement of particular assets or liabilities.

(1 mark)

For example, in the case of the MV Belsay, a sustainability-related issue (a climate- related risk) is itself an indicator of impairment and results in a remeasurement of the asset and an expense in the financial statements.

(1 mark)

Total: 5 marks

SECTION 3 Question 2 - Solution

Question 50 – IFRS/GRI comparison (6 marks)

IFRS Sustainability Disclosure Standards require entities to provide sustainability- related financial disclosures, ie information about issues that might affect the entity's financial prospects.

(1 mark)

Entities using IFRS Sustainability Disclosure Standards apply financial materiality, using the same definition that is used in IFRS Accounting Standards ie information is relevant if omitting, misstating or obscuring it could reasonably be expected to influence the financial decisions made by users of the information.

(1 mark)

Information under IFRS Sustainability Disclosure Standards is produced for the benefit of specific user groups defined by the IFRS Conceptual Framework for Financial Reporting as actual and potential investors and lenders and is not necessarily intended to be useful to wider stakeholders.

(1 mark)

In contrast, GRI Standards require entities to provide information about impact of the entity's operations on the environment and society, and the entity's operations are understood to extend all the way along its value chain.

(1 mark)

Entities using GRI Standards apply impact materiality, which reflects the effect of the entity's operations on the environment and society.

(1 mark)

Information is included in GRI reports if it is relevant to any stakeholder within the value chain, such as consumers, suppliers, employees etc, rather than just to investors and lenders. As such, the information in Finchdale's disclosures does not have to be relevant to investors to be material, although many investors are keen to invest only in entities that, at a minimum, 'do no harm' and therefore may be interested in the impacts.

(1 mark)

Total: 6 marks

Question 51 – GRI 401 (5 marks)

GRI 401-1(a)

Finchdale has disclosed the total number and rate of new employee hires analysed by age group and gender.

(1 mark)

However, it has not provided a breakdown by region in accordance with the requirements of GRI 401 (a).

(1 mark)

GRI 401-1(b)

Finchdale has disclosed the employee turnover by age.

(1 mark)

However, it has not provide disclosure by gender or region in accordance with the requirements of GRI 401 (b).

(1 mark)

Overall

Therefore, overall, we can say that Finchdale has partially complied with the GRI Standards. The disclosures made are in line with those requirements but some requirements information is not disclosed and no explanation or justification is provided.

(1 mark)

Total: 5 marks

Question 52 – Improvements (4 marks)

To comply fully with GRI 401 Finchdale should disclose details employee recruitment and turnover by region.

(1 mark)

This would provide additional information to users in line with GRI 401 and/or details of the reasons for any omissions may enhance users' trust in the disclosures and reassure them that the disclosures are relevant and balanced.

(1 mark)

The information disclosed could be improved by providing comparative figures in the quantitative analysis, to support the commentary notes relating to a year on year change.

(1 mark)

This would make it possible for users of the report to gain a better understanding of changes over time or trends.

(1 mark)

Total: 4 marks

SECTION 3 Question 3 - Solution

Question 53 – Greenwashing (7 marks)

Much of the information will be factually correct. Even if the standards requirements by a particular certificate are not exacting, or only have limited relevance, it is likely that the ingredients / products meet those standards. And some certifications are well respected and provide valid comparison with other products (e.g. Soil Association certification for organic food).

(1 mark)

However, the certifications that come from relatively unknown providers may not be informative or meaningful, or may have limited relevance, especially if they focus on only a narrow set of metrics.

(1 mark)

There is a conflict of interest both for Hylton and its suppliers especially where Hylton is paying for certification.

(1 mark)

The calculation of food miles appears to be inaccurate, and likely misleading.

(1 mark)

And Hilton selects key performance indicators that flatter its performance, rather than using objective criteria, thus presenting an unrealistic view of the company's operations.

(1 mark)

Changing the basis of calculations and changing the key performance indicators used makes it difficult for users to compare performance over time periods, this reducing the overall quality of the information.

(1 mark)

Continuing to publish the information in its current form would likely be greenwashing.

(1 mark)

Total: 7 marks

Question 54 – Use of SASB standards (7 marks)

Hylton must refer to and consider the applicability of the disclosure topics in the SASB Standards in identifying sustainability-related risks and opportunities and disclosure requirements.

(1 mark)

Directors can still choose to include or omit specific disclosure topics, but they must be able to justify this. As such they cannot simply choose to only include positive information and omit negative information.

(1 mark)

The SASB standards identify metrics that are likely to be appropriate for a particular industry and which are designed to help entities to communicate an overall picture of their performance.

(1 mark)

At the moment, Hylton selects its own metrics and presents only a partial, positive picture. By using SASB standards Hylton would prepare more standardised disclosures and the information would be more relevant.

(1 mark)

Hylton's disclosures could be improved by stating separately the percentage of ingredients that meet environmental and social sourcing standards and the percentage of ingredients that is certified independently, in accordance with the metrics in the SASB standards.

(1 mark)

By using percentage of ingredients rather than number of ingredients Hylton would be disclosing more relevant information that facilitate comparisons over time and with other entities.

(1 mark)

Hylton should also include detail about its strategy for managing environmental and social risks within its supply chain.

(1 mark)

(Total: 7 marks)

SECTION 3 Question 4 - Solution

Question 55 – Client requirements (4 marks)

Annual sustainability report:

Producing an annual sustainability report will provide a focal point for understanding sustainability and the company's approach to sustainability management.

(1 mark)

When Brinkburn starts to report on aspects of sustainability, clients will be able to assess the sustainability of the Business and the link between sustainability issues and financial performance and prospects.

(1 mark)

Since Brinkburn is planning to report in accordance with GRI Standards, using impact materiality, the report will include only the impacts of the company's operations on stakeholders.

(1 mark)

Financial considerations, such as the impact on financial performance and prospects, will not be considered in the sustainability report.

(1 mark)

(Total: 4 marks)

Question 56 – EPS (4 marks)

	Earnings	Shares	
	£'000	**'000**	**EPS**
Basic EPS ((£18,550k – £2,500k)	16,050	10,000	161.5p per share
Add: shares under option		600	
Less: Equivalent at fair value (600 × 2.20/3.00)		(440)	
Diluted EPS	16,050	10,160	158.0p per share

Earnings (1 mark)

Basic EPS calculation (1 mark)

Diluted no of shares (1 mark)

Diluted EPS calculation (1 mark)

Total: 4 marks

Question 57 – Governance of sustainability matters (6 marks)

Director appointment:

A key element of the assessment of effective governance is the overall structure of sustainability governance and how the responsibility for sustainability is delegated.

(1 mark)

When Brinkburn recruits a director with specific responsibility for sustainability, this could improve governance by identifying it as the responsibility of a board-level director and awarding it high profile status within the company, with an advocate at board level.

(1 mark)

The competency of governance bodies and their members assigned to oversight roles is determined based on their knowledge, skill sets and experience related to sustainability and industry-specific issues.

(1 mark)

Having an experienced director would, therefore, contribute to an improved quality of governance.

(1 mark)

Performance criteria:

Directors are measured on only financial criteria. Including sustainability in the assessment of directors' performance and linking performance criteria to compensation may improve sustainability performance since directors' will be motivated to focus on this element.

(1 mark)

However, this should be linked to company objectives, so these may need to be reviewed and revised before directors performance criteria are changed.

(1 mark)

Total: 6 marks

Question 58 – Engagement with stakeholders (5 marks)

Engagement with stakeholders is part of the materiality assessment process.

(1 mark)

Since Brinkburn has not previously prepared a sustainability report, it will need to go through the processes of identifying stakeholders, consulting with them and determining which issues should be prioritised.

(1 mark)

Using a materiality matrix can help to identify the matters that are of greatest interest to stakeholders (as a whole or by group) and that have the highest potential business impact.

(1 mark)

Matters that are high on both stakeholder interest and business impact inform the most important themes and will help Brinkburn to determine which is the highest priority issue to focus on.

(1 mark)

Thus, a materiality matrix can serve as a strategic tool for Brinkburn to focus its sustainability efforts, allocate resources effectively, and communicate their priorities and progress to stakeholders in a transparent and meaningful way.

(1 mark)

Total: 5 marks

Solution to SECTION 3 Question 5 – Lion

Question 59 – Purpose of integrated reporting and links to sustainability (4 marks)

Purpose of IR

The purpose of integrated reporting is to explain to providers of financial capital how an organisation creates value over time.

(1 mark)

How sustainability matters are incorporated

IR encourages organisations to report not only on financial outcomes but also on sustainability factors.

(1 mark)

IR considers how value is created by transforming “capitals” including natural capital, which includes all environmental resources, and social and relationship capital which align with the ESG aspects of sustainability.

(1 mark)

The holistic approach used in integrated reporting helps organisations disclose their sustainability practices and impacts, illustrating how they contribute (or not) to various capitals.

(1 mark)

Total: 4 marks

Question 60 – Ethics (4 marks)

Issue

The finance director would like to avoid spending time or money preparing information in accordance with IFRS Sustainability Disclosure Standards as she does not appear to see the value in providing sustainability-related information.

(1 mark)

Objectivity

The finance director has suggested that investing in the resources needed to gather more information would result in a reduced bonus, which is a threat to the objectivity of both you and the finance director.

(1 mark)

Professional behaviour

The finance director is suggesting that information is manipulated to be made to look to be compliant with IFRS Sustainability Disclosure Standards. This attempt to deceive/mislead shows a lack of professional behaviour.

(1 mark)

Professional competence and due care

The finance director's professional competence and due care is in question as she does not have knowledge of the requirements of the IFRS Sustainability Disclosure Standards necessary for her role and therefore does not have the skills required to understand what information should be disclosed in accordance with the Standards.

(1 mark)

Total: 4 marks

Question 61 – Requirements under IFRS S2, para 33 (11 marks)

Conclusion

The extract from the integrated report partially meets the requirements of IFRS S2 *Climate-related Disclosures* para 33.

(1 mark)

Quantitative and qualitative climate-related targets

Lion does provide quantitative and qualitative targets in its disclosure by setting out a 30% (quantitative) reduction in CO_2e emissions by 2030 (qualitative – alignment with a low-carbon future).

(1 mark)

Targets required by law or regulations

Only the greenhouse gas emissions target and metric is included in the IR extract.

(1 mark)

The IR extract does not refer to any other climate-related target Lion is required to meet by law or regulation, which there is likely to be in the car manufacturing industry.

(1 mark)

Requirement (a)

Lion provides a carbon intensity metric (emissions per unit of production) as the primary measure for tracking progress which is clear and specific and meets requirement (a).

(1 mark)

Requirement (b)

Lion clearly states the objective is to reduce GHG emissions to contribute to a lower-carbon future which is clear and meets requirement (b).

(1 mark)

Requirement (c)

Lion states that the target applies to manufacturing operations globally and therefore meets the requirement.

(1 mark)

Requirement (d)

The disclosure states a clear target period of 2024-2030 which meets requirement (d).

(1 mark)

Requirement (e)

The disclosure identifies 2020 as a baseline year which meets requirement (e).

(1 mark)

Requirement (f)

The disclosure states that progress will be reviewed annually which implies a degree of ongoing monitoring.

(1 mark)

However, to fully meet requirement (f), Lion should include formal interim targets or milestones that enhances clarity around progress checkpoints over the target period.

(1 mark)

Total: 11 marks